

MODULE 6, CHAPTER 3: MAJOR MEDICAL & RIGID EXCLUSIONS

Major Medical Expense Policy

- **The Ultimate Safety Net:** While basic plans help with average illnesses, a Major Medical policy is specifically designed to rescue people from the extremely serious financial effects of a **medical catastrophe**.

The Mechanics of Cost-Sharing

- **Deductible:** The initial expenses the insured must pay out of pocket before the policy assumes liability.
- **Co-insurance:** Once the deductible is accumulated, the policy takes over and pays a percentage (usually **75% or 80%**) of further covered expenses, subject to a maximum limit.
- **Purpose:** Cost-sharing keeps premiums affordable and establishes a restraint on extravagant medical charges by giving the insured a direct financial reason to hold expenses down.

Rigid Health Insurance Exclusions

- **Pre-Existing Conditions:** Standard individual plans will not cover sickness or injury existing prior to the coverage.
- **Standard Exclusions:** Nervous or mental diseases, and normal pregnancy and childbirth.
- **Hazard & Military Exclusions:** Strictly excludes injuries covered by Workmen's Compensation laws, acts of war, injuries sustained while serving in the armed forces, or injuries from operating military or experimental aircraft.

Key Takeaway: Major medical relies entirely on cost-sharing. Deductibles and Co-insurance (the 80/20 split) ensure the client has a financial incentive to avoid extravagant charges, keeping the whole system affordable while protecting them from absolute bankruptcy!